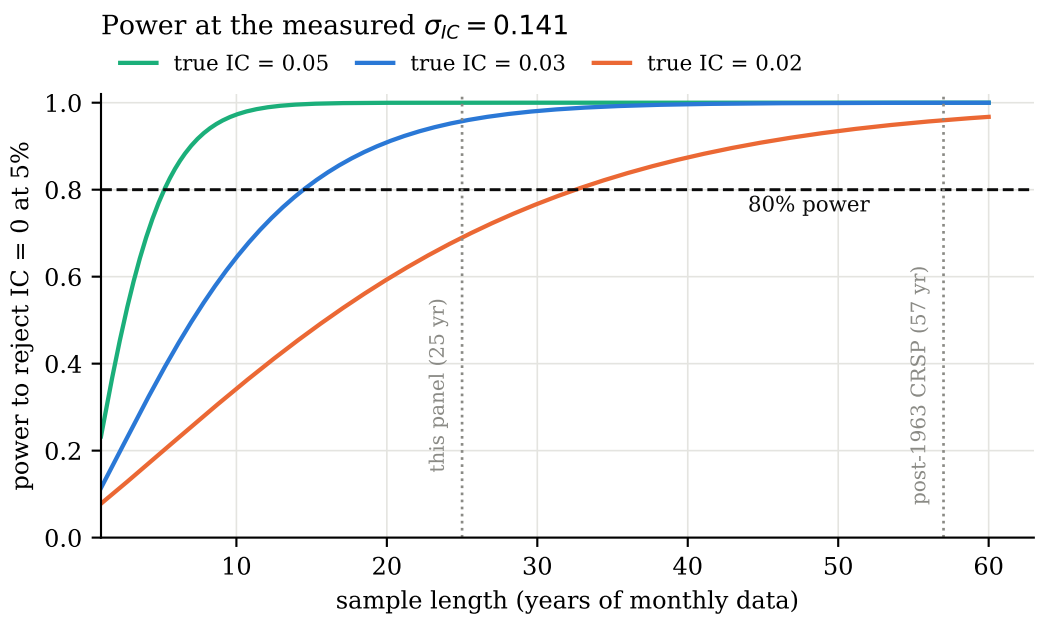
Power at the measured $\sigma_{IC} = 0.141$
true IC = 0.05
true IC = 0.03
true IC = 0.02
power to reject IC = 0 at 5%
1.0
0.8
0.6
0.4
0.2
0.0
80% power
this panel (25 yr)
post-1963 CRSP (57 yr)
10
20
30
40
50
60
sample length (years of monthly data)